

of its own surveys since 1982 of the country's top economists reveals that in the aggregate, these acknowledged experts predicted accurately the *direction* (forget the extent) of interest rates *only 25% of the time*, which is half the success rate that would be produced purely by guessing. (Chapters 10 and 11 will elaborate on the psychology behind conventional forecasting, revealing why it produces worse than random results.) So for whatever errors this book may contain, I hope that you will not judge them too harshly.

The Wave Principle is a law governing dynamism, motion and change; it is a law of action and reaction, *not* a law of stasis. Expect change and you will live in harmony with that law. Expect the status quo and you will be swept away by the tides of history. One clear message from the Wave Principle is that collective man will enjoy the same successes and repeat the same mistakes over and over, with minor differences in specifics, throughout eternity, although each time from a higher level of advancement. Mistakes are repeated not because people fail to learn from history, as many contend, but precisely because they *do* learn from history, from *recent* history, their own experience. Home buyers from 1949 to 1989, for instance, learned that house prices only go up. This was a mistaken conclusion, but it was due to learning not badly, but *well*. The problem is that the data was limited mostly to personal experience. Social patterns result partly from the fact that life span, and therefore the depth and breadth of individual knowledge, is limited. As an antidote to this problem, the Wave Principle provides such a powerful insight into the mechanisms of social psychology that knowledge of it is a shortcut to studying all the details of history. If you can say, "Today the stock market, and therefore the social mood trend that has been in force for so long, may be finishing wave 5 of v of 5 of (5) of ⑤ of V of (V) of Three," you are more attuned than most to the probabilities for the future.

Although aggregate social behavior is patterned, individuals do enjoy free will. If you have the mental fortitude to do so, you can act independently of the crowd and resist being swept along by the social pressure it exerts. Indeed, informed individuals can take advantage of a knowledge of the patterns of human sociology not only to survive, but to prosper. With such knowledge, they can ride a surfboard expertly on the curl of the tidal wave rather than sit blithely unaware inside a grass hut on the beach, oblivious to the danger of the impending wash. Unfortunately, independence is ex-